

ADVERTISING AND TECHNOLOGY IN MICHIGAN

STUDY SHEET

Build your business the correct way.

MARKETING YOUR LISTINGS

Position your property in as many and diverse venues as you can.

- MLS
- Internet/Social Media
 - Digg, Delicious, Technorati, Stumble Upon, Facebook, LinkedIn, MySpace, Twitter, Craigslist, YouTube
 - Follow advertising rules: disclose your license status, broker's name, and business phone number
- Direct mail, newsletters, sales letters, flyers
- Signage - Always include your name, phone number and website.
- Cooperate with Other Agents
- Open Houses - Bring necessary disclosure materials to open houses.

PUFFING, NEGLIGENCE, MISREPRESENTATION, AND FRAUD

Puffery : Exaggeration/hyperbole that a reasonable buyer would know are exaggerated claims and not rely on. "This is the best view in the neighborhood."

Misrepresentation : Concrete, unsubstantiated claims that a reasonable buyer would rely on. "This view will never be obstructed."

Negligence : Failing in the duty of care

- Failing to present an offer on behalf of a buyer client in a timely manner, which results in the seller accepting an offer from another buyer
- Agents can be sued because they knew or should have known something.

Negligent Misrepresentation : Making a statement you should have known was false

Intentional Negligent Misrepresentation = fraud

- Not only should the person have known better, but they did and intentionally remained silent or misstated facts.

TRUTH IN ADVERTISING

FTC has enacted rules to encourage truth in advertising.

Deceptive ad : Contains statements or omits material information that is important and likely to mislead consumers acting reasonably.

Unfair ad : Causes or likely to cause substantial consumer injury, which could not be reasonably avoided, and which is not outweighed by the benefits.

Real estate ads should:

- * Not mislead or contain errors of fact
- * Not make unsubstantiated claims
- * Not use team or group names
- * Not contain out-of-date information, which is false information - keep online listing information current

In order to use the name "REALTOR®", you must be a member of the National Association of REALTORS®.

PENALTIES FOR ADVERTISING VIOLATIONS

Severity depends on nature of the violation FTC or courts can impose:

- Cease and desist order
- Civil penalties ranging from thousands of dollars to millions of dollars, full or partial refunds to consumers
- Corrective advertising, disclosures, and informational remedies

ADVERTISING COMPLAINTS

Lanham Act: Gives companies the right to sue competitors for making deceptive advertising claims Filing a complaint:

- National Advertising Division (NAD) of the BBB
- Advertising vehicle used to publish the ad
- Attorney General's office
- Local office of Consumer Affairs
- FTC - By mail or telephone

FEDERAL LAWS RELATING TO PROSPECTING

- Do Not Call Implementation Act of 2003 - Illegal to solicit households on Do Not Call Registry list by phone
- Junk Fax Prevention Act of 2005 - Illegal to send unsolicited commercial message via fax
- CAN-SPAM Act of 2003 - Protects consumers from unwanted email solicitations

ADVERTISING AND SOLICITATION IN MICHIGAN

Licensees must:

- Disclose their license status in all advertising, including when advertising their own property for sale
- Include their licensed broker's business name and address or phone number on all advertising

REDUCING RISKS TO COMPUTER SYSTEMS

- Online breaches occur everywhere.
- Client data, privacy, security, and confidentiality are all at risk if brokerage data is compromised.
- Be aware of risks.
- Design and put security measures into place to minimize risk. Do:
- Perform software updates.
- Use secure sites ("https://").
- Lock your computer when not in use. Do Not:
- Leave clients unattended in the office.
- Use unsecured wireless networks.
- Click on suspicious links or attachments.

THE MLS

- Most powerful tool at your disposal
- Makes listings instantly available to all member professionals
- Exposes and markets listings to precise demographic

AVOIDING MLS VIOLATIONS

Sharing data via the MLS increases liability if listing information is incorrect or violates laws/regulations. Violations to watch out for:

- Fair housing
- Privacy and security breaches
- MLS rules for self-promotion
- False or misleading information as to a property's location
- Not submitting to the MLS on time
- Absence of appropriate photos
- Failure to update information in a timely manner Brokers should establish an MLS policy.

PREVENTING ONLINE RENTAL SCAMS

Con artists use real estate listing information to fraudulently rent out property. Licensees can monitor listings to minimize the risk of "scraping" with:

- Google alerts
- "If this, then that" alerts
- Google image search

LEGAL CONSIDERATIONS ONLINE

Licensees are prone to exposure.

- Web sites - Keep information accurate and up-to-date.
- Social networking sites - Maintain safety, security and confidentiality.
- Email - Use caution when making commitments via email that require signatures and when forwarding emails.

DODGING SOCIAL MEDIA BLUNDERS

Do:

- Use secure sites.
- Limit the amount of personal information you post.
- Remember that the internet is a public resource.

Do Not:

- Advertise your clients' possessions, just the home.
- Post information that makes you vulnerable.
- Post images of yourself wearing expensive jewelry to promote a listing, which can attract thieves.
- Post comments that reflect poorly on your listing.
- Use the same passwords that you use on other sites.
- Give addresses to open houses on social media.
- Log into your accounts from public computers.
- Assume posts are from who they say they are.
- Accept friend requests from those you don't know.